BOTTLING UP BJP's K. Annamalai presents liquor policy document to TN governor R.N. Ravi, July 26



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TAMIL NADU

Brewing Battle

By Amarnath K. Menon

The BJP is keen to strike a mortal blow to what is a cash cow for the Tamil Nadu government—the Tamil Nadu State Marketing Corporation, or TASMAC. The government entity, which has a monopoly over wholesale and retail sale of liquor in the state, generates close to Rs 44,000 crore annually. Over the years, it has been accused of corruption, mismanagement and exploitation of employees. An alleged nexus of politician-owned distilleries and TASMAC is also said to complicate the regulation of alcohol supply in the state. Some 5,000 outlets are known to charge 2 per cent more than the MRP, amounting to at least another Rs 8,000 crore—money that allegedly enriches politicians and other private players.

This is not all. TASMAC workers are alleged to have been forced to participate in illegal liquor sales; ill-paid and working in poor conditions, they don't mind making quick money on the side through 'cuttings'—opening a bottle and selling contents by the 'peg'. The alleged practice is particularly prevalent in TASMAC outlets in remote areas. It can result in adulteration, but officials have been silent. The target-oriented sales strategy at TASMAC acts as yet another spur to corruption. Then there is the festering canker of spurious liquor.

The state BJP chief K. Annamalai, who is on a statewide tour, *En Mann, En Makkal* (My Land, My People), from July 28, met Governor R.N. Ravi on July 26 and presented a comprehensive document on 'liquor policy reforms'. Annamalai had wanted to hand chief minister M.K. Stalin the dossier, but failed to get an appointment. The 369-page document—the

MANY SAY THE BJP'S ATTEMPTS TO LIMIT ALCOHOL CONSUMPTION AND SALE WOULD DEPLETE TN FINANCES, IMPACTING ITS ABILITY TO FUND SOCIAL SECTOR SCHEMES

BJP calls it a 'white paper'—details the problems caused and faced by TASMAC and the way forward to gradually close liquor shops and reduce the state's dependence on liquor revenue. The dossier presents a roadmap to shut down 75 per cent of TASMAC shops in a phased manner and explains how to make good the loss in revenue by bringing mining under government control, or developing the electronics industry, among other measures.

Creating an economically viable Rs 1 lakh crore toddy industry will be a steady source of revenue, provide employment to affected TASMAC employees and generate income for farmers tending to the toddy palms, the BJP's document says. Since Tamil Nadu has around 50 million out of India's 80 million toddy palms and toddy's alcoholic content is far less than liquor made out of molasses, the document urges the government to lift the ban on toddy tapping. It also demonstrates how the existing policy is an alleged money-spinner for politicians of the ruling Dravida Munnetra Kazhagam (DMK) or those connected with it.

Despite the state's declared position to gradually move towards prohibition—excise and prohibition form a single department—Tamil Nadu has seen a continuous increase in the number of liquor stores. With TASMAC having the